TEACHER GUIDE DRAFT

Leaving Certificate Business (current syllabus)

Cash flow

Unit 4: Managing 2
4.1 Basic cash flow; applying for a loan



A revision lesson. Pupils run a car dealership in firms of four and revise cash flow on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

1 Net cash flow today

Round 1

They pay a deposit today.

Net cash flow today? Money out is minus.

You buy them today	**€34,400**
Customer's price	**€39,700**
Customer pays today	**10%**

ANSWER

-€30,430

10% × €39,700 = €3,970; €3,970 − €34,400 = −€30,430

Why: The deposit covers only €3,970 of the €34,400 you pay today.

2 Why cash is short

Round 1

Profit is high, but the bank says you are over your overdraft limit.

Which two best explain the cash shortage?

- **A** Too much cash tied up in stock
- **B** More buyers pay by card
- **C** Suppliers give 60 days to pay
- **D** Gross profit margin has fallen
- **E** Customers are slow to pay

ANSWER

✓ Too much cash tied up in stock
✓ Customers are slow to pay

Why: Slow payers and stock hold cash back; card sales and supplier credit help.

3 Cash timing order

Round 2

Cars wait 20 days before sale. Supplier paid 30 days after delivery; customer 60 days after sale.

Put these in time order, first to last?

- **A** You pay the supplier
- **B** The cars are sold
- **C** The customer pays you
- **D** The cars arrive

ANSWER

1. The cars arrive
2. The cars are sold
3. You pay the supplier
4. The customer pays you

Why: Day 0 arrive, day 20 sold, day 30 supplier paid, day 80 paid: a 50-day gap.

Topic tasks

4 Month-end balance

Round 2

They pay half in month 2.

Balance at the end of month 2?

Set aside for this deal	**€15,900**
Month 1: you buy the cars	**€51,150**
Running costs, each month	**€780**
Customer's price	**€62,000**

ANSWER

−€5,810

€15,900 − €51,150 − 2 × €780 + €31,000 = −€5,810

Why: Month 2 is still short: the other half comes in month 3.

5 Factor or overdraft

Round 3

A customer owes you €40,000 in 60 days. A factor pays you now for 4%; an overdraft costs 12% a year.

Which is cheaper, and why?

A The factor

B The overdraft

ANSWER

✔ **The overdraft**

Why: 4% of €40,000 is €1,600; 12% a year for 60 of 365 days is about €790.

6 Bank covers the gap

Round 3

The bank covers the gap.

Balance at the end of month 2?

Set aside for this deal	**€16,400**
Month 1: you buy the cars	**€42,000**
Charge on month 1 overdraft	**2%**
Month 2: customer pays	**€52,050**

ANSWER

€25,938

Month 1: −€25,600; charge 2% × €25,600 = €512; −€25,600 − €512 + €52,050 = €25,938

Why: Waiting for the customer cost €512 in bank charges.

Final questions

Each pupil answers 6 final questions. Pick the question topic “Cash, profit and VAT”: the 6 come from these 10 questions.

Then each pupil writes one short answer: “Evaluate factoring against an overdraft for this dealer.”

1. You bought a used hatchback for €8,400 and sold it to a customer for €10,400. VAT is 23/123 of the margin. How much VAT does this sale leave to pay?
   ✔ **€374**

2. This round your firm sold three vehicles. The margins were €1,500, €3,300 and a loss of €600. How much VAT does the round's return ask for?
   ✔ **€897**

3. Your firm has sold cars this round but has not filed the VAT return yet. Where does the VAT you owe show?
   ✔ **As a debt in the net position until the return is filed and paid**

4. A customer pays your firm €12,000 for a car that cost you €9,800. Who pays the VAT on this sale to Revenue?
   ✔ **Your firm, out of the price it received, when it files the return**

5. You sold a van for €15,000 that cost €11,700. What is left of the margin after the VAT on this sale?
   ✔ **€2,683**

6. Your firm owes €1,122 of VAT this round and files the return late. The late charge is €125. What does the late return cost in total?
   ✔ **€1,247**

7. Cash €150,000, stock at cost €40,000, a loan of €25,000 and unpaid VAT of €1,200. What is the net position?
   ✔ **€163,800**

8. Your cash went up by €10,400 when a customer paid for a car that cost €8,400. How much of that cash is not really yours to spend?
   ✔ **The VAT on the margin, €374, which is owed to Revenue**

9. You sell two scooters to customers: one bought for €2,100 and sold for €2,600, one bought for €2,400 and sold for €2,700. How much VAT do the two sales leave?
   ✔ **€149**

10. The VAT return opens in the final 90 seconds of the round. Your firm has €2,600 of VAT to pay and €1,900 in cash. What happens if you file now?
    ✔ **The return cannot be paid in full; the firm needs €700 more cash before it files**